MANAGEMENT'S DISCUSSION & ANALYSIS

The Business

Canada Bread Company, Limited ("Canada Bread" or "the Company"), which is 87.5% owned by Maple Leaf Foods Inc. ("Maple Leaf"), is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company employs approximately 7,300 people at its operations across North America and in the United Kingdom.

Effect of Restructuring and Other Items

Operating earnings, net earnings, and earnings per share ("EPS") comparisons for the year exclude $4.7 million of restructuring costs ($3.2 million after tax) recorded in the first quarter of 2005. Management believes that this is the most appropriate basis on which to evaluate operating results, as restructuring costs are not representative of continuing operations. Year-over-year and quarterly comparisons are also affected by the inclusion of an additional week of operations in the fourth quarter of 2004.

Selected Financial Highlights

The following is a summary of audited financial information for the three years ended December 31, 2005 (in thousands of dollars except per share information):

	2005	2004	2003
Sales	**$ 1,346,481**	$ 1,318,865	$ 1,262,811
Operating Earnings before restructuring costs	**111,072**	98,970	62,941
Net Earnings	**74,922**	66,648	35,633
Net Earnings before restructuring costs	**78,141**	66,648	40,435
Total Assets	**761,363**	767,643	779,954
Net Debt	**20,927**	82,514	162,123
Per Share			
Net Earnings	**$ 2.95**	$ 2.62	$ 1.42
Net Earnings before restructuring costs	**3.07**	2.62	1.61
Cash Dividends	**0.24**	0.24	0.24

Results of Operations

The Company recorded significant earnings growth in 2005, as it continued to benefit from meeting consumer needs with a selection of value added and highly nutritious bakery products and improved operational efficiencies. Strong earnings momentum during the first half slowed in the fourth quarter when the Company was significantly impacted by higher fuel, energy and other inflationary costs. Price increases have been implemented in early 2006 to offset these rising costs, and the Company is well positioned for the long term with strong brands and new product innovations.

Sales for the year of $1.3 billion increased 2% compared to last year. Earnings from operations for the year increased 12% to $111.1 million from $99.0 million last year. Net earnings before restructuring costs of $78.1 million ($3.07 per share) compared to $66.6 million ($2.62 per share) last year. Including restructuring costs, year-to-date net earnings were $74.9 million ($2.95 per share).

Operating Segments

The Company's operations are classified into two primary business segments, which have been used for operating segment disclosures for all years presented. Fresh Bakery includes fresh bakery products and specialty fresh pasta and sauces. Frozen Bakery includes North American and United Kingdom ("U.K.") frozen bakery products including frozen par-baked and specialty bakery products.

Operating Review

The following table, which forms the basis of discussion in this document of the Company's results of operations, reflects operating earnings by business group before restructuring costs:

Earnings from Operations

($ millions)	**2005**	2004	Change	2003
Fresh Bakery	**82.0**	67.2	22%	37.0
Frozen Bakery	**29.1**	31.8	(8%)	25.9
	111.1	99.0	12%	62.9

Fresh Bakery Fresh Bakery sales for the full year were $951.9 million compared to $929.5 million last year, while earnings from operations for the year increased to $82.0 million from $67.2 million last year. Strong sales of branded whole grain, whole wheat and specialty breads, higher prices and improved efficiencies in some key bakeries contributed to earnings growth for the year, despite pressures from higher energy and other input costs, and increased investment in advertising and promotional spending in the fourth quarter of 2005. The Olivieri pasta and sauce business experienced year over year sales growth and volume recovery, benefiting from a reduction in low carbohydrate diets.

Frozen Bakery Sales for the year increased to $394.6 million from $389.4 million last year, while earnings from operations for the year declined to $29.1 million from $31.8 million. The North American Frozen business experienced significant increases in fuel and energy costs which offset operational improvements in freight and distribution. The U.K. Bakery benefited from sales growth largely due to overall market growth of 18%. Full year earnings growth in 2005 was more than offset by additional costs related to the commissioning of a new U.K. bagel plant, increased advertising investment earlier in the year and higher energy and flour costs.

Other Income Other income for the year increased to $1.9 million from $0.1 million in 2004. The increase was primarily due to gains on fixed asset disposals in the Fresh Bakery as excess real estate was disposed of.

Restructuring Costs During the first quarter of 2005, the Company recorded $4.7 million in restructuring costs ($3.2 million after tax) primarily in respect of the closure of its bakery in Peterborough, England, and the closure of a pasta manufacturing line due to the termination of a co-packing agreement with Maple Leaf. These restructuring activities were substantially completed during the year and the Company expects to complete the remainder in 2006.

Interest Expense Interest expense of $5.4 million compared to $6.8 million in 2004 principally due to lower debt levels as the Company generated strong free cash flow that was used to pay down debt. The Company's average effective cost of borrowing was 3.4% (2004: 2.7%).

Income Taxes Income tax expense increased to $27.9 million from $25.6 million in 2004 as pre-tax earnings increased. The Company's effective tax rate was 27.1% in 2005 compared to 27.8% in 2004. Components of the changes are provided in Note 13 to the Consolidated Financial Statements.

Transactions with Related Parties

Maple Leaf provides the Company with certain management services, including treasury, taxation, internal audit, accounting, investor relations and access to bulk purchasing programs. Furthermore, Maple Leaf also provides other specific services, namely information systems and engineering support. Details of amounts paid in respect of these services are set out in Note 15 to the Consolidated Financial Statements.

Capital Resources and Liquidity

The bakery industry is generally characterized by high sales volumes and rapid turnover of inventories and accounts receivable. Investment in working capital is also affected to some extent by fluctuations in the prices of raw materials, seasonal and other market-related fluctuations.

Historically, the Company has consistently generated a significant amount of operating cash that has more than covered financing needs related to operational capital expenditures and restructuring expenses. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide longer-term funding required for its strategic investing activities.

Cash Flow from Operations Operating cash flow for the year of $111.7 million compared to $142.7 million last year. An increase in net earnings offset by a $46.1 million reduction in changes in non-cash working capital mainly due to a $20.0 million expansion of the Company's accounts receivable securitization program and a large increase in taxes payable, both of which occurred in 2004.

Capital Expenditures Capital spending for the year of $54.7 million compared to $69.6 million last year. The decline in capital spending reflects the substantial completion of payments for the U.K. bagel plant in the fourth quarter of 2004.

The Company owns or leases approximately 35 manufacturing facilities, and a supporting network of distribution facilities and offices. These facilities require a minimum level of maintenance spending to keep them in appropriate condition, and the Company also has a strategy of continued re-investment in technology and process in these facilities that ensures relative competitiveness and reduces the cost of production. In addition to this, the Company will further invest in incremental production capacity where warranted.

Debt Facilities To provide additional liquidity, the Company and its subsidiaries had aggregate credit facilities (excluding accounts receivable securitization programs) of $281.9 million (2004: $250.5 million), of which $40.4 million (2004: $99.7 million) was utilized (including $8.1 million in respect of letters of credit) at December 31, 2005.

On October 26, 2005, the Company reached an agreement with Maple Leaf to amend its revolving credit agreement. In accordance with the new financing arrangement, the term of the facility has been extended for three years, maturing on December 27, 2008. To provide additional liquidity, the principal amount of the facility has been increased from $169.0 million to $250.0 million and the borrowing rate has been reduced to reflect lower credit spreads consistent with current market trends. Under the previous facility, Canada Bread had the option to repay up to $20 million of debt outstanding in common shares. This option does not exist under the amended facility.

To access competitively priced financing, and to further diversify its funding sources, the Company operates an accounts receivable financing facility. At year end, the Company had $70.0 million (2004: $70.0 million) outstanding under this facility.

Contractual Obligations The following table provides payment information as at December 31, 2005 about certain of the Company's material contractual obligations:

		Payments due by fiscal year					
($ millions)	Total	2006	2007	2008	2009	2010	After 2010
Long-term debt	32.3	0.2	0.1	32.0	-	-	-
Lease obligations	43.2	13.5	10.3	7.5	4.2	2.6	5.1
Total contractual obligations	75.5	13.7	10.4	39.5	4.2	2.6	5.1

Management is of the opinion that its cash flow and sources of financing provide the Company with sufficient resources to finance ongoing business requirements and its planned capital expenditure program. As at December 31, 2005, the Company was in compliance with all debt covenants. Additional details concerning financing are set out in the Notes to the Consolidated Financial Statements.

Derivatives

Inherent in the bakery business is some exposure to market risks from changes in commodity prices (primarily wheat), interest rates and foreign exchange rates. When considered appropriate, these exposures may be managed by the use of derivative financial instruments, including interest rate swaps, currency contracts, commodity futures and options. Information on the Company's material year end derivative hedge positions is set out in Note 7 to the Consolidated Financial Statements. If the Company had not entered into these contracts, operating earnings for 2005 would have been lower by $0.6 million (2004: $0.5 million) and interest expense would have been higher by $1.4 million (2004: $1.4 million).

Management hedges commodities when it determines that conditions are appropriate to mitigate risks and reduce the risk of loss from adverse changes in commodity prices. The Company attempts to closely match commodity contract terms with the underlying hedged exposure and continually measures the effectiveness of the hedge in place.

The Company enters into interest rate swaps that effectively fix a portion of the interest payment on its interest bearing debt and securitization program. At December 31, 2005, 82% (2004: 70%) of the Company's exposure to interest rate fluctuations was hedged or fixed. The Company periodically enters into foreign exchange hedges to fix certain of its foreign currency exposure.

All hedging and derivative activity is in accordance with risk management policies that specify both the type of allowed derivatives, maximum trading exposures and the definition of allowable hedge activity.

During 2005, there were no material derivative gains or losses related to hedge ineffectiveness and no hedges were discontinued in 2005 as a result of it becoming probable that a forecasted transaction would not occur.

In general, the Company holds derivative contracts to maturity as they are matched with the underlying commodity, interest rate or foreign exchange exposure. The financial impact, should the Company terminate and settle these arrangements, is disclosed in Note 7 to the Consolidated Financial Statements. There are no other obligations or liabilities under these arrangements that may require further funding by the Company.

Share Capital and Dividends

During 2005 and 2004, the Company declared an aggregate yearly dividend of $0.24 per common share. This represents aggregate dividend payments of $6.1 million in each of 2005 and 2004.

As of January 31, 2006, there were 25,416,812 common shares of the Company issued and outstanding.

Environment

The Company is conscious of its environmental responsibilities. Each of its businesses operates within the framework of an environmental policy entitled "Our Environmental Commitment" that is approved by the Board of Directors' Human Resources and Corporate Governance Committee. The Company's environmental program is monitored on a regular basis by the Committee, including compliance with regulatory requirements, the use of internal environmental specialists and independent, external environmental analyses. The Company continues to invest in environmental infrastructure related to water, waste and air emissions to ensure that environmental standards continue to be met or exceeded, while implementing procedures to minimize the impact of operations on the environment. Expenditures related to current environmental requirements are not expected to have a material effect on the financial position or earnings of the Company.

Risk Factors

The Company operates in the food processing sector, and is therefore subject to risks and uncertainties related to these businesses that may have adverse effects on the Company's results of operations and financial position. Some of these risks and uncertainties are outlined below. Prospective investors should carefully review and evaluate the following risk factors together with all of the other information contained in this report. The risk factors described below are not the only risk factors facing the Company. The Company may be subject to risks and uncertainties not described below that the Company is not presently aware of or that the Company may currently deem insignificant.

Food Safety and Consumer Health The Company is subject to risks that affect the food industry in general, including risks posed by food spoilage or contamination, consumer product liability, and the potential costs and disruptions of a product recall. The Company actively manages these risks by maintaining strict and rigorous controls and processes in its manufacturing facilities and distribution systems. The Company's facilities are subject to audit by federal health agencies in Canada and similar institutions outside of Canada, and performs its own audits to ensure compliance with its internal standards, which are generally at or higher than regulatory agency standards. However, the Company cannot guarantee that compliance with procedures and regulations will necessarily mitigate the risks related to food safety.

Foreign Currencies A significant amount of the Company's revenues and costs are either denominated in or directly linked to currencies (primarily U.S. Dollars) other than the Canadian dollar. Due to the diversity of the Company's operations, normal fluctuations in these other currencies have relatively small impacts on the Company's profitability due to (a) "natural hedges" or offsetting currency exposure (for example, when revenues and costs are both linked to other currencies) or (b) an ability to change prices of its products to offset adverse currency movements. As a result, currency fluctuations would not normally be considered a material risk to the Company. However, in periods when the Canadian dollar appreciates both rapidly and materially against the U.S. dollar, revenues linked to U.S. dollars are immediately reduced while the Company's ability to change prices or realize on natural hedges may lag the immediate currency changes. The effect of such sudden change in exchange rates can have a significant impact on the Company's earnings. Over time, the Company reduces this risk by realizing natural hedges, increasing prices, or where possible or necessary, reducing costs. The Company's earnings related to the U.K. may also be affected, adversely or favourably, by foreign currency translation.

Commodity The Company is a purchaser of certain commodities, such as wheat and natural gas in the course of normal operations. The Company may use commodity futures and options for hedging purposes to reduce the effect of changing prices in the short term. On a longer term basis, the Company manages the risk of increases in commodities and other input costs by increasing the price it charges to its customers.

Governmental Regulation and Changes in Legislation The Company's operations are subject to extensive regulation by government agencies in the countries in which it operates including the Canadian Food Inspection Agency. These agencies regulate the processing, packaging, storage, distribution, advertising and labelling of the Company's products, including food safety standards. The Company's manufacturing facilities and products are subject to inspection by federal, provincial and local authorities. The Company believes that it is currently in material compliance with all laws and regulations and maintains all material permits and licences relating to its operations. Nevertheless, there can be no assurance that the Company is in compliance with such laws and regulations or that it will be able to comply with such laws and regulations in the future. Failure by the Company to comply with applicable laws and regulations could subject the Company to civil remedies, including fines, injunctions, recalls or seizures, as well as potential criminal sanctions, which could have a material adverse effect on the Company. Various governments throughout the world are considering regulatory proposals relating to genetically modified organisms, drug residues or food ingredients, food safety and market and environmental regulation that, if adopted, may increase the Company's costs. If any of these or other proposals are enacted, the Company could experience a disruption in supply and may be unable to pass on the cost increases to its customers without incurring volume loss as a result of higher prices.

Environmental Regulation The Company's operations are subject to extensive environmental laws and regulations pertaining to the discharge of materials into the environment and the handling and disposition of wastes (including solid and hazardous wastes) or otherwise relating to protection of the environment. Failure to comply can have serious consequences, such as criminal as well as civil penalties, liability for damages, and negative publicity to the Company. The Company has incurred and will continue to incur capital and operating expenditures to comply with such laws and regulations. No assurances can be given that additional environmental issues relating to presently known matters or identified sites or to other matters or sites will not require additional expenditures, or that requirements applicable to the Company will not be altered in ways that will require the Company to incur significant additional costs.

In addition, certain of the Company's facilities have been in operation for many years and, over such time, the Company and other prior operators of such facilities have generated and disposed of wastes which are or may be considered hazardous. Future discovery of previously unknown contamination of property underlying or in the vicinity of the Company's present or former properties or manufacturing facilities and/or waste disposal sites could require the Company to incur material unforeseen expenses. Occurrences of any such events may have a material affect on the Company's financial results and financial condition.

Consolidating Customer Environment As the retail grocery and foodservice trades continue to consolidate and customers grow larger, the Company is required to adjust to changes in purchasing practices and customer sophistication, as failure to do so could result in losing sales volumes and market share. The Company's net sales and profitability could also be affected by deterioration in the financial condition of, or other adverse developments in the relationship with, one or more of its major customers.

Leverage The terms of the Company's credit facilities include covenants which could limit the Company's operating and financial flexibility. The Company's ability to make scheduled payments of principal or interest on, or refinance, its indebtedness depends on its future business performance, which is subject to economic, financial, competitive and other factors beyond its control. Any failure by the Company to satisfy its obligations with respect to its indebtedness at maturity or prior thereto would constitute a default under such indebtedness and could cause a default under the agreements governing other indebtedness, if any, of the Company.

Pandemic The Company is subject to risks that affect agriculture, and disease affecting its employees, such as a pandemic. These risks can result in disruptions of trade, consumer confidence issues, and impact the Company's ability to manufacture, ship products and perform core business processes. The Company actively manages these risks by maintaining a general emergency response process. These processes involve prevention, preparedness including emergency simulations, response and recovery plans. In 2005, the Company initiated a project to update its emergency response plans to more thoroughly address pandemic implications. An annual update to these plans will occur each year to maintain relevance and priority, and annual simulations of various emergencies form the basis for continuous improvement. The Company monitors the World Health Organization ("WHO") and other alert systems worldwide, to enable prompt reaction to any specific issues. However, not all services procured by the Company may be subject to these processes, as it depends on independent third parties for many aspects of the business, such as transportation. The Company cannot guarantee that an outbreak of pandemic in Canada will not have a material adverse effect on the Company's financial statements.

Critical Accounting Estimates

The preparation of the Company's consolidated financial statements requires management to make certain estimates and assumptions. The estimates and assumptions are based on the Company's experience combined with Management's understanding of current facts and circumstances. These estimates may differ from actual results, and certain estimates are considered critical as they are both important to reflect the Company's financial position and results of operations and require a significant or complex judgment on the part of Management.

The following is a summary of certain accounting estimates or policies considered critical by the Management of the Company.

Goodwill This is tested for impairment annually and as part of this test the Company assesses the value of goodwill of its various reporting units. The Company's goodwill was tested in the second quarter of 2005 and no impairment in the value of goodwill had occurred.

Reserve for Bad Debts The Company provides for individual non-collectible or doubtful accounts. Estimation of recoverable amounts is based on management's best estimate of a customer's ability to settle its obligations, and actual amounts received may be affected by various factors, including industry conditions and changes in individual customer financial condition.

Trade Merchandise Allowances and Other Trade Discounts The Company provides for estimated payments to customers based on various trade programs and contracts, which includes payments upon attainment of certain sales volumes. Significant estimates used to determine these liabilities include the level of customer performance and the historical promotional expenditure rate versus contracted rates.

Employee Benefit Plans The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected benefit method prorated on service and management's best estimate of expected plan investment performance (7.5%), salary escalation (4%), retirement ages of employees and expected heath care costs. Discount rates used in actuarial calculations are based on long-term interest rates and can have a material effect on the amount of plan liabilities.

A 1% change in health care cost trend would not have a significant impact on the year end obligation or the 2005 current service and interest costs.

Taxes The provision for income taxes is based on domestic and international statutory income tax rates and tax planning opportunities available to the Company in the jurisdictions in which it operates. Significant judgment is required in determining income tax provisions and in evaluating tax positions. The Company establishes additional provisions for income taxes when, despite the belief that existing tax positions are fully supportable, there remain certain tax provisions that may be reviewed by tax authorities. The Company adjusts these additional accruals in light of changing facts and circumstances. The tax provision includes the impact of changes to accruals that are considered appropriate.

Restructuring Reserves The Company evaluates accruals related to restructuring at each reporting date to ensure these accruals are still appropriate. In certain instances, Management may determine that these accruals are no longer required because of efficiencies in carrying out restructuring activities. In certain circumstances, Management may determine that certain accruals are insufficient as new events occur or as additional information is obtained.

Change in Accounting Policies

Convertible Debt Effective January 1, 2005, the Company adopted the amendment to Canadian accounting principles, section 3860 – "Financial Instruments – Disclosure and Presentation" on a retroactive basis with restatement of prior periods. The revised standard, which is effective for 2005, requires obligations of a fixed amount that may be settled, at the issuer's option, by a variable number of the issuer's own equity instruments to be presented as liabilities. As a result of adopting the revised standard, the Company retroactively reclassified $20.0 million of convertible debt as a liability on the balance sheet. The Company had previously included $20 million related to a debt facility with Maple Leaf in shareholders' equity, due to the fact that it can be settled, at the option of Canada Bread, in common shares. There was no impact on net earnings, basic or diluted earnings per share for prior periods as a result of adopting this change retroactively.

Variable Interest Entities ("VIEs") The Company adopted the guidance in Accounting Guideline 15, "Consolidation of Variable Interest Entities" retroactively without restatement of prior periods, effective January 1, 2005. This guideline addresses the consolidation of VIEs, which are entities that have insufficient equity and/or their equity investors lack one or more specified essential characteristics of a controlling financial interest. The guideline also provides guidance for determining who, if anyone, should consolidate the variable interest entity. The adoption of this guideline did not have a material impact on the Company.

Sales Classification New guidance provided by EIC Abstract 156 "Accounting by a Vendor for Consideration Given to a Customer (including a reseller of the vendor's products)" requires vendors to classify certain consideration provided to customers as a reduction of revenue rather than as cost of sales unless the vendor receives, or will receive, an identifiable benefit in exchange for the consideration. This EIC is effective for fiscal and interim periods beginning on or after January 1, 2006. The Company will adopt this standard retroactively as of January 1, 2006 as required.

The impact of the adoption of this standard will reduce sales by approximately $119.5 million (2004: $111.6 million), with no impact on net earnings or EPS as follows:

($ millions)	First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Total
2005					
Reported sales	**316.9**	**344.6**	**346.1**	**338.9**	**1,346.5**
Trade merchandising allowances and other discounts	27.5	30.3	31.6	30.1	119.5
Adjusted sales	**289.4**	**314.3**	**314.5**	**308.8**	**1,227.0**
2004					
Reported sales	305.4	329.7	335.7	348.1	1,318.9
Trade merchandising allowances and other discounts	25.1	27.4	28.7	30.4	111.6
Adjusted sales	280.3	302.3	307.0	317.7	1,207.3

Recent Accounting Pronouncements

In 2005, the Canadian Accounting Standards Board issued three new standards that introduce new requirements for the recognition and measurement of financial instruments that are based on and similar to standards issued by the Financial Accounting Standards Board in the U.S. and the International Accounting Standards Board.

Comprehensive Income Section 1530 requires that entities present comprehensive income and its components, as well as net income in its financial statements. Comprehensive income is the change in equity of an enterprise during a period from transactions and other events from non-owner sources. It includes all changes in equity during a period except those resulting from investments by and distributions to owners.

Financial Instruments Section 3855 requires that all financial assets be classified as held for trading, held to maturity, loans and receivables or available for sale. All derivative instruments, including those that are embedded in, but not closely related to, another contract must be classified as held for trading.

Financial assets and liabilities classified as held for trading must be measured at fair value with gains and losses recognized in the periods in which they arise. Financial assets classified as held to maturity, loans and receivables, and financial liabilities not classified as held for trading, must be measured at their amortized cost. Financial assets classified as available for sale are measured at fair value with gains and losses recognized in other comprehensive income until the underlying financial asset is derecognized or becomes impaired.

Hedges Section 3865 establishes standards for when and how hedge accounting may be applied. The standard requires that hedges be designated as either fair value hedges, cash flow hedges or hedges of a net investment in a self-sustaining operation. For a fair value hedge, the gain or loss on the hedging item is recognized in earnings in the period of change together with the offsetting change attributable to the hedged risk. For a cash flow hedge, as well as a hedge of a net investment in a self-sustaining foreign operation, the effective portion of the gain or loss on the hedging item is initially reported in other comprehensive income and subsequently recognized in earnings when the hedged item affects earnings.

These three new accounting standards are effective for fiscal years beginning on or after October 1, 2006 and would therefore be applicable to the Company's 2007 fiscal year. The Company has not yet determined the impact of these new standards on its operations and financial condition.

Variable Interest Entities In October 2005, EIC-157 "Implicit Variable Interests under AcG-15" was issued which clarifies that a reporting enterprise should consider whether it holds an implicit variable interest in a VIE or potential VIE. The Committee also reached a consensus that the determination of whether an implicit variable interest exists should be based on whether the reporting enterprise may absorb variability of the VIE or potential VIE. The Company adopted the guidance in AcG-15 retroactively without restatement of prior periods, effective January 1, 2005. The adoption of this guideline did not have a material impact on the Company.

Conditional Asset Retirement Obligations In December 2005, the EIC released abstract EIC-159, "Conditional Asset Retirement Obligations". A conditional asset retirement obligation is an obligation associated with the retirement of a long-lived asset where the timing and/or method of settlement are conditional on a future event. To address the issue of when to recognize such an obligation, the Committee reached a consensus that a liability be recognized at fair value when the fair value of the obligation can be reasonably estimated. Should the fair value of the obligation not be reasonably estimable, this fact and its reason(s) are to be disclosed. The Company does not anticipate this EIC to have any impact on its results or financial position.

Responsibility of Management and Board of Directors

Management is responsible for the reliability and timeliness of content disclosed in the MD&A, which is current as of February 21, 2006. Management also acknowledges responsibility for the existence and effectiveness of systems, controls and procedures to ensure that information used internally by management and disclosed externally is reliable and timely.

It is the responsibility of the Audit Committee to provide oversight in reviewing the MD&A and the Board of Directors to approve the MD&A. The Board of Directors and the Audit Committee review all material matters relating to the necessary systems, controls and procedures in place to ensure the appropriateness and timeliness of MD&A disclosures.

Summary of Quarterly Results

The following is a summary of unaudited quarterly financial information for the eight interim periods ended December 31, 2005 (in thousands of dollars except per share information):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Total
Sales	**2005**	**$316,861**	**$344,610**	**$346,144**	**$338,866**	**$1,346,481**
	2004	305,412	329,668	335,707	348,078	1,318,865
Net Earnings	**2005**	**11,885**	**21,262**	**23,038**	**18,737**	**74,922**
	2004	12,549	15,799	19,048	19,252	66,648
Net Earnings before restructuring costs	**2005**	**15,104**	**21,262**	**23,038**	**18,737**	**78,141**
	2004	12,549	15,799	19,048	19,252	66,648
Earnings per Share						
Basic	**2005**	**$ 0.47**	**$ 0.84**	**$ 0.91**	**$ 0.74**	**2.95**
	2004	0.49	0.62	0.75	0.76	2.62
Basic before restructuring costs	**2005**	**0.59**	**0.84**	**0.91**	**0.74**	**3.07**
	2004	0.49	0.62	0.75	0.76	2.62
Diluted	**2005**	**0.47**	**0.83**	**0.90**	**0.74**	**2.93**
	2004	0.48	0.61	0.73	0.75	2.57

For an explanation and analysis of quarterly results, refer to the Management's Discussion & Analysis in the 2005 Interim reports to Shareholders filed on SEDAR and also available on the Company's website at www.canadabread.ca.

Forward-Looking Statements

This document contains and the Company's oral and written public communications often contain forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the management of the Company. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Words such as "expect," "anticipate," "intend," "attempt," "may," "plan," "believe," "seek," "estimate," and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict. Therefore, actual outcomes and results may differ materially from what is expressed, implied or forecasted in such forward-looking statements. The Company does not intend, and the Company disclaims any obligation to update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise.

These forward looking statements are based on a variety of factors and assumptions including, but not limited to: the condition of the Canadian and U.S. economies, the rate of appreciation of the Canadian dollar versus the U.S. dollar, the availability and prices of raw materials, energy and supplies, product pricing, the competitive environment and related market conditions, operating efficiencies, access to capital, the cost of compliance with environmental and health standards, adverse results from ongoing litigation and actions of domestic and foreign governments. These assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party industry analysts. Actual results may differ materially from those predicted by such forward-looking statements. While the Company does not know what impact any of these differences may have, its business, results of operations, financial condition and the market price of its securities may be materially adversely affected. Factors that could cause actual results or outcomes to differ materially from the results expressed or implied by forward-looking statements include, among other things: the risks posed by food contamination, consumer liability and product recalls; the risks related to the creditworthiness of customers to whom the Company extends credit; the Company's exposure to currency exchange risks; the impact of international events on commodity prices and the free flow of goods; the risks posed by compliance with extensive government regulation; the risk due to the consolidating customer environment; leverage risk and the risk posed by pandemic.